

Patrice de Maistre, may have played a role in engineering this “feud.”

In her latest ruling, the judge in the case condemned Wilhelm for paying himself €200,000 (\$275,000) a month to represent Bettencourt. And that’s probably just the tip of the iceberg.

There’s also the case of the society photographer François-Marie Banier. Mr. Banier was accused of taking advantage of Bettencourt’s weak mental state to get her to hand over €1.3 billion worth of old-master paintings, cash—and even a private island in the Seychelles!

Bettencourt’s butler was so distressed by the conversations between Bettencourt, de Maistre, and Banier that he recorded them for 21 hours. The butler’s tapes created a public scandal. They revealed that Bettencourt had €78 million hidden from the French tax authorities in Switzerland. Evidently, that was an arrangement her father had set up a long time ago. Her estate quickly settled the matter with the French government.

But it was also revealed that Clymene, the family office, was employing Florence Woerth, the wife of employment minister Éric Woerth. This revelation dovetailed with a political finance scandal: Woerth is said to have channeled Bettencourt’s money into his party—and the party of French president Sarkozy, the UMP.¹²

It seems unlikely that Bettencourt, suffering as she is from “moderately severe” Alzheimer’s, was the architect of this political finance scheme. Instead, what’s much more likely is that de Maistre wanted to gain political influence for himself, and he made use of Mrs. Bettencourt’s estate to do it.

There’s a clear takeaway message from all of this: You have to keep your family close. You also have to keep a close eye on your family office advisers and their intentions.

THE END OF AN AMERICAN DYNASTY

Other times, a family breakdown can be subtler and take a lot more time, as in the case of the Busch family.